# *Optii-Savr*

# Customs Incentive Insight

## Background

A correct strategy for business can change the financial scenarios upside down. Similarly, availing an optimum incentive scheme can change the costing and profitability of a business. Hence, in today's price sensitive market, it is imperative to consider various benefits and costs included in the day-to-day transactions to build a successful analysis tool.

We at Optitax's are a team of professionals having subject matter expertise in indirect taxation. We have developed an analysis tool which could assist in determining the optimum incentive scheme for formulating a sound strategy. We have made every attempt to include all relevant factors which can impact on the cost while deciding the feasibility.

The report indicates feasibility under an individual and combination of schemes. It is pertinent to note that **this calculation is done at a broad level and there could specific provisions under a particular scheme which may be a critical requirement under a particular scheme and the respective taxpayer may not be eligible thereunder.**

**Our findings:** We have analysed the information provided taking into consideration the relevant provisions of the respective schemes and based on our analysis (in following pages) we are of a view that **AA + EPCG & BR + EPCG & SEZ Unit** schemes are the most viable in terms of monetary benefits, likely to be received by the user. Kindly take into consideration the merits/demerits for each of the scheme and take a considered decision.

**Our analysis**

Amount is in INR (lakhs)

| S. No | Particulars | AA + EPCG | BR + EPCG | MOOWR Unit | EOU | SEZ Unit |
|---|---|---|---|---|---|---|
| | **Imported Capital Goods** | | | | | |
| 1 | Duties of customs (other than IGST) saved/deferred at the time of import | | | | | |
| 2 | Duty payable at the time of EPCG redemption/removal from MOOWR unit | | | | | |
| 3 | Savings in opportunity cost of working capital of IGST deferred | | | | | |
| | **Domestically procured capital goods** | | | | | |
| 4 | Duty drawback AIR receivable | | | | | |
| 5 | Duties of customs (other than IGST) saved | | | * | | |
| 6 | Duties of customs and interest payable at the time of EPCG redemption | | | | | |
| | **Imported raw materials (for exports, SEZ supplies & deemed export)** | | | | | |
| 7 | Savings in opportunity cost of duties of customs (other than IGST) saved/deferred at the time of import | | | | | |
| 8 | Savings in opportunity cost of working capital of IGST deferred | | | | | |
| 9 | Duties of customs (other than IGST) saved/deferred at the time of import | | | | | |
| | **Imported raw materials (for domestic sales)** | | | | | |
| 10 | Savings in opportunity cost of duties of customs (other than IGST) saved/ deferred at the time of import | | | | | |
| 11 | Savings in opportunity cost of working capital of IGST deferred | | | | | |
| | **Domestic Raw Materials** | | | | | |
| 12 | Duty drawback AIR receivable | | | | | |
| 13 | Duties of customs (other than IGST) saved | | | * | | |
| 14 | Savings in opportunity cost of working capital of IGST deferred | | | | | |
| | **Export incentives** | | | | | |

| S. No | Particulars | AA + EPCG | BR + EPCG | MOOWR Unit | EOU | SEZ Unit |
|---|---|---|---|---|---|---|
| 15 | RoDTEP receivable | | | | | |
| 16 | Duty drawback AIR receivable | | | | | |
| | **SEZ specific** | | | | | |
| 17 | IGST saved on cost of construction | | | | | |
| 18 | Duties of customs (other than IGST) saved on construction material | | | | | |
| 19 | Savings in opportunity cost of working capital of IGST on input services (domestic & imported) | | | | | |
| 20 | Differential duties of customs payable on domestic sales | | | | | |
| **21** | **Net Benefit of the respective option over DTA option** | | | | | |

**Notes: Each note pertains to respective S.no above**

1. The duties of customs are not creditable hence, are saving in cost. In the case of a MOOWR unit, such duties are deferred, i.e., payable on removal of the capital goods from the MOOWR unit.
2. Where the EPCG EO is fulfilled partially till the EO period of six years gets over, proportionate duties saved at the time of import are payable. We have considered that such duties are paid after seven years (i.e., one year after completion of eligible period of six years allowed for fulfillment of EPCG EO). This amount includes the duties of customs including IGST as may be applicable plus interest. Where the EPCG EO is getting fulfilled within prescribed period of six years the duties payable is nil. Further, in case of DTA sale of the capital goods by a MOOWR unit the duties of customs as may be applicable will become payable. We have considered NPV of such duties as a cost. In case of EOUs and SEZs, if the NFE works out to be negative based on the projections provided by user then we have mentioned these schemes as N/A as the respective authorities of EOU or SEZ will not permit setting up of the unit under the respective schemes. **Further, in case of EOUs and SEZs where the NFE is positive, and the capital goods are sold before expiry of 10 years then** the duties of customs become payable on depreciated value. We have considered NPV of such duties as a cost.
3. The amount of saving is worked out considering the average gap of 35 days (or the gap in days based on the information provided by the user) from the date of import when the IGST otherwise would have been paid and utilized as input tax credit for discharging the monthly GST liability. The opportunity cost of working capital is considered at the rate provided by the user.
4. It is assumed that the SEZ unit pays consideration to the vendor in convertible foreign currency and accordingly the vendor is eligible to claim duty drawback AIR at the rate of 1.5%. Please note that this Duty drawback AIR rate may vary depending on the ITCHS classification of goods.
5. The duties of customs as may be applicable are likely to be suffered by the domestic suppliers on the imported components used to manufacture such capital goods can be neutralized by obtaining EPCG license and invalidating the license in the name of such supplier under AA+EPCG and BR+EPCG option and such supplier can neutralize such duties of customs when the supplier is supplying such capital goods to the EOUs and SEZs. In case of the SEZ unit, both the benefits i.e., Duty drawback AIR mentioned above, and neutralizing duties of customs cannot be availed simultaneously hence, it is netted off in the case of SEZ unit option. * In our view, MOOWR unit can take EPCG or Advance Authorisation to neutralize such costs. However, in absence of specific provisions the jurisdictional Customs Authorities may not agree with this view.

6. Where the EPCG EO is fulfilled partially till the EO period of six years gets over, the proportionate notional duties are payable. We have considered that such duties are paid after seven years (i.e., one year after completion of eligible period of six years allowed for fulfillment of EPCG EO). This amount includes the notional duties of customs plus interest on such duties including IGST.
7. The amount of saving is worked out considering that the upfront exemption in duties of customs availed in case of options such as AA+EPCG, MOOWR, EOU & SEZ unit would accrue savings in the opportunity cost of working capital as the raw materials imported under such schemes are converted further and then exported after a period of 60 days (or such a period as is provided by the user) from the date of import. To work out such savings the duties of customs saved **X** the opportunity cost of working capital **X** (no. of days required for conversion/ 365) for the projected period factoring growth and NPV.
8. The amount of saving is worked out considering that there is a gap of average 35 days (or the gap in days based on the information provided by the user) when the IGST otherwise would have been paid and utilized as input tax credit for discharging the monthly GST liability. The opportunity cost of working capital is considered at the rate provided by the user. Further, it also factors the growth rate and the NPV.
9. The duties of customs are not creditable hence, considered as saving/cost. The amount of saving is worked out considering the growth rate provided by you and for the period of project provided by you. Further, it also factors NPV of the future savings at the discounting factor provided by the user.
10. The amount of saving is worked out considering that the upfront exemption in duties of customs availed in case of options such as MOOWR & SEZ would accrue savings in the opportunity cost of working capital as the raw materials imported under such schemes are converted further and then exported after at least a period of 60 days (or such a period as is provided by you) from the date of import. To work out such savings the duties of customs saved **X** the opportunity cost of working capital **X** (no. of days required for conversion/ 365) for the projection period factoring growth and NPV.
11. The amount of saving is worked out considering that there is a gap of average 35 days (or the gap in days based on the information provided by you) when the IGST otherwise would have been paid and utilization of such IGST input tax credit of discharging monthly GST liability. This saving can be availed only in this case of MOOWR, EOU & SEZ. The opportunity cost of working capital is considered at the rate provided by you. Further, it also factors the growth rate and the NPV.
12. It is assumed that the SEZ unit pays to the vendor in convertible foreign currency and accordingly, the vendor is entitled to AIR at the rate of 1.5%. Please note that this may vary depending on the actual ITCHS classification of goods.
13. The duties of customs as may be applicable that are likely to be suffered by the domestic suppliers on the imported components used to manufacture such raw materials or components can be neutralized by obtaining AA license in case of AA+EPCG or claiming BR under the BR+EPCG option and by the EOUs and SEZs. In case of SEZ's both the benefits i.e., Duty drawback AIR mentioned above, and neutralizing duties of customs cannot be availed simultaneously hence, it is netted off in case of SEZ option. * In our view, MOOWR unit can take EPCG or Advance Authorisation to neutralize such costs. However, in absence of specific provisions the jurisdictional Customs Authorities may not agree with this view.
14. The amount of saving is worked out in case of the SEZ units, as the supplies received by SEZ units from the domestic supplies are zero rated under the GST law and therefore the SEZ unit does not suffer with the IGST on such inward supplies. The same creates opportunity to save on working capital cost considering minimum gap of average 35 days (or the gap in days based on the information provided by you) when the IGST otherwise would have been paid on such domestic procurement and utilization of IGST input tax credit for the purpose of discharging monthly GST liability. The opportunity cost of working capital is considered at the rate provided by you. Further, it also factors the growth rate and the NPV.
15. The units operating under AA, MOOWR unit, EOU, SEZ unit option presently are not entitled to RoDTEP benefit. Here we have considered the amount of RoDTEP forgone as provided by the user on the physical exports (export of goods outside India) as the incentive forgone under the respective scheme, as compared to a domestic tariff area unit which does not opt for any of such schemes. Please note that in the latest past, the AA, EOU & SEZs unit were entitled for RoDTEP benefits for a brief period hence, the latest notifications at the relevant period

should be looked at. Further, in the case of BR+EPCG such RoDTEP amount is not factored as the net benefits of the said option in the end are compared with the domestic tariff area unit which as well is entitled to RoDTEP and therefore both such types of units are indifferent to RoDTEP benefit.

16. The units operating under AA, BR, MOOWR unit, EOU, SEZ unit option are not entitled to duty drawback AIR benefit, hence, we have considered the amount of duty drawback AIR forgone as provided by the user on the physical exports (export of goods outside India) & supplies of goods to SEZ units as incentive forgone under the respective scheme as compared to a domestic tariff area unit which does not opt for any of such schemes.
17. The said benefit is accrued only to the SEZ units. The IGST payable of construction of factory building is not entitled to be availed as input tax credit hence it becomes a cost to any given unit except SEZ unit. The SEZ units can avail such services without suffering with the GST thereon. Similarly, the imported goods required for the construction by an SEZ unit as well can be procured without payment of the duties of customs. Accordingly, the respective amounts of GST and the duties of customs as provided by the user are saving.
18. The said benefit is accrued only to the SEZ units. The IGST payable of construction of factory building is not entitled to be availed as input tax credit hence it becomes a cost to any given unit except SEZ unit. The SEZ units can avail such services without suffering with the GST thereon. Similarly, the imported goods required for the construction by an SEZ unit as well can be procured without payment of the duties of customs. Accordingly, the respective amounts of GST and the duties of customs as provided by the user are a saving.
19. The SEZ units can procure the imported as well as domestic input services without payment of GST. In case of other options, input tax credit of such GST is generally admissible hence, the said exemption in a way accrues only the opportunity of saving the working capital cost. The same is worked out considering the average minimum gap of 35 days (or the gap in days based on the information provided by the user) from the date of procuring such services when the IGST otherwise would have been paid on the same and utilized as input tax credit for the purpose of discharging the monthly GST liability.
20. Presently, in case of DTA sale by the SEZ units, the value on which the SEZ units are required to pay the duties of customs is the transaction value at which such goods are sold in DTA. In such a case, the SEZ unit pay the duties of customs even on the value addition made by such unit over the CIF value of imported goods. Such differential duty is considered as a cost for the said option. Further, we have also considered the growth and the NPV of such cost over a project period.

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